



**Figure 6.4 PowerShares S&P 500 Low Volatility and SPDR Consumer Staples Select Sector**

## HOW TO REPLICATE SMART BETA

Here is a way you can replicate a smart beta ETF with a lower-cost, factor-based ETF. Go to the Morningstar online home page, input the symbol of your smart beta ETF in the Quote box, click on the word *Quote*, then look down the page and click on the Portfolio tab in the menu row that begins with the word *Quote*. You will then see the most appropriate benchmark portfolio for that ETF.<sup>3</sup> You can then search online for an appropriate ETF representing that benchmark. For comparison purposes, you can also find annual portfolio turnover ratios and annual expense ratios by clicking on the Morningstar Fees & Expenses tab.

Here is an example using PDP, which is the PowerShares DWA Momentum Portfolio managed by Dorsey, Wright & Associates. This fund